Company Registration No. 06133975 (England and Wales)

LUTON TOWN FOOTBALL CLUB 2020 LTD

REPORT AND FINANCIAL STATEMENTS
FOR THE PERIOD ENDED
30 JUNE 2020

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LUTON TOWN FOOTBALL CLUB 2020 LTD

COMPANY INFORMATION

Directors	G Sweet D Wilkinson P Ballantyne M Herrick R Curson S Browne R Stringer T Schofield
Secretary	D Wilkinson
Company number	06133975
Registered office	Kenilworth Stadium 1 Maple Road East Luton Bedfordshire LU4 8AW
Auditor	RSM UK Audit LLP Chartered Accountants The Pinnacle 170 Midsummer Boulevard Milton Keynes MK9 1BP
Business address	Kenilworth Stadium 1 Maple Road East Luton Bedfordshire LU4 8AW

LUTON TOWN FOOTBALL CLUB 2020 LTD

DIRECTORS' REPORT

FOR THE PERIOD ENDED 30 JUNE 2020

The directors present their annual report and financial statements for the period ended 30 June 2020.

The company changed its reporting date in the period from 31 May to 30 June to align with the wider football industry in terms of league funding and sponsorship deals. Consequently, the current period financial statements cover the 13 month period ending 30 June 2020 as compared to the comparative period for the year ending 31 May 2019. The comparative amounts presented in the financial statements, including the related notes, are therefore not entirely comparable.

Principal activities

The principal activity of the company continues to be that of a professional football club.

Directors

The directors who held office during the period and up to the date of signature of the financial statements were as follows:

G Sweet	
D Wilkinson	
P Ballantyne	
M Herrick	
R Curson	
S Gibb	(Resigned 9 July 2019)
S Browne	
R Stringer	(Appointed 3 June 2019)
T Schofield	(Appointed 23 February 2021)

Qualifying third party indemnity provisions

The company has made qualifying third party indemnity provisions for the benefit of its directors during the period. These provisions remain in force at the reporting date.

Disabled persons

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned. In the event of members of staff becoming disabled, every effort is made to ensure that their employment within the company continues and that the appropriate training is arranged. It is the policy of the company that the training, career development and promotion of disabled persons should, as far as possible, be identical to that of other employees.

Auditor

RSM UK Audit LLP have indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be deemed reappointed as auditors in the absence of an Annual General Meeting.

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, each director has taken all the necessary steps that they ought to have taken as a director in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

This report has been prepared in accordance with the provisions applicable to companies entitled to the small companies exemption.

On behalf of the board

.....

G Sweet

Director

Date: 29/04/21

LUTON TOWN FOOTBALL CLUB 2020 LTD

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE PERIOD ENDED 30 JUNE 2020

The directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial period. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are responsible for the maintenance and integrity of the company website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF LUTON TOWN FOOTBALL CLUB 2020 LTD

Opinion

We have audited the financial statements of Luton Town Football Club 2020 Ltd (the 'company') for the period ended 30 June 2020 which comprise the income statement, the statement of financial position, the statement of changes in equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2020 and of its profit for the period then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice;
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

We have nothing to report in respect of the following matters in relation to which the ISAs (UK) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the directors' report for the financial period for which the financial statements are prepared is consistent with the financial statements; and
- the directors' report has been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception
In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or
- the directors were not entitled to prepare the financial statements in accordance with the small companies regime and take advantage of the small companies' exemption from the requirement to prepare a strategic report or in preparing the directors' report.

Responsibilities of directors
As explained more fully in the directors' responsibilities statement set out on page 3, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at: http://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report
This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

RSM UK Audit LLP

David Olsson (Senior Statutory Auditor)
For and on behalf of RSM UK Audit LLP, Statutory Auditor
Chartered Accountants
The Pinnacle
170 Midsummer Boulevard
Milton Keynes
MK9 1BP

29-04-2021

LUTON TOWN FOOTBALL CLUB 2020 LTD

INCOME STATEMENT

FOR THE PERIOD ENDED 30 JUNE 2020

	Notes	Period ended 30 June 2020 £	Year ended 31 May 2019 £
Turnover	2	14,568,220	7,688,374
Cost of sales		(15,721,117)	(9,406,788)
Gross loss		(1,152,897)	(1,718,414)
Administrative expenses		(6,215,942)	(2,627,218)
Other operating income	2	1,565,487	-
Profit on player trading and other related income		9,162,706	2,198,268
Operating profit/(loss)		3,359,354	(2,147,364)
Interest receivable and similar income		7,186	-
Interest payable and similar expenses		(9,727)	(1,170)
Profit/(loss) before taxation		3,356,813	(2,148,534)
Taxation		-	-
Profit/(loss) for the financial period	16	3,356,813	(2,148,534)

Company Registration No. 06133975

LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF FINANCIAL POSITION

AS AT 30 JUNE 2020

	Notes	30 June 2020 £	30 June 2020 £	31 May 2019 £	31 May 2019 £
Fixed assets					
Intangible assets	6		1,492,729		919,103
Tangible assets	7		748,799		444,764
			2,241,528		1,363,867
Current assets					
Stocks		57,061		78,041	
Debtors falling due after more than one year	8	2,330,000		266,413	
Debtors falling due within one year	8	4,420,661		2,298,138	
Cash at bank and in hand		1,221,967		277,432	
		8,029,689		2,920,024	
Creditors: amounts falling due within one year	9	(5,963,738)		(5,161,589)	
Net current assets/(liabilities)			2,065,951		(2,241,565)
Total assets less current liabilities			4,307,479		(877,698)
Creditors: amounts falling due after more than one year	10		(1,364,819)		(146,981)
Net assets excluding pension liability			2,942,660		(1,024,679)
Defined benefit pension liability	12		(324,287)		(363,761)
Net assets/(liabilities)			2,618,373		(1,388,440)
Capital and reserves					
Called up share capital	11		18,145,003		18,145,003
Profit and loss reserves	16		(15,526,630)		(19,533,443)
Total equity			2,618,373		(1,388,440)

These financial statements have been prepared in accordance with the provisions applicable to companies subject to the small companies' regime.

The financial statements were approved by the board of directors and authorised for issue on 29-04-2021 and are signed on its behalf by:

G Sweet
Director

LUTON TOWN FOOTBALL CLUB 2020 LTD

STATEMENT OF CHANGES IN EQUITY
FOR THE PERIOD ENDED 30 JUNE 2020

		Share capital	Profit and loss reserves	Total
		£	£	£
Balance at 1 June 2018		18,145,003	(18,512,171)	(367,168)
Year ended 31 May 2019:				
Loss and total comprehensive income for the year		-	(2,148,534)	(2,148,534)
Capital contribution		-	1,127,262	1,127,262
Balance at 31 May 2019		18,145,003	(19,533,443)	(1,388,440)
Period ended 30 June 2020:				
Profit and total comprehensive income for the period		-	3,356,813	3,356,813
Capital contribution	**16**	-	650,000	650,000
Balance at 30 June 2020		18,145,003	(15,526,630)	2,618,373

1 Accounting policies

Company information

Luton Town Football Club 2020 Ltd is a private company limited by shares and is registered and incorporated in England and Wales. The registered office is Kenilworth Stadium, 1 Maple Road East, Luton, Bedfordshire, LU4 8AW.

Accounting convention

These financial statements have been prepared in accordance with FRS 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland' ('FRS102'), the requirements of the Companies Act 2006 as applicable to companies subject to the small companies regime, and under the historic cost convention. The disclosure requirements of section 1A of FRS102 have been applied other than where additional disclosure is required to show a true and fair view.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £1.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

Going concern

The company made a profit in 2019/20, thanks to the transfers of two of its most valuable players. As is usual with transfer deals, the fees are being paid in instalments, so only a portion of these funds was available to help mitigate the severe economic impact of the pandemic.

It was essential that the club played out the remainder of the 2019/20 season, having entered the period of national lockdown in the relegation places. The season was completed in June/July 2020 entirely behind closed doors, resulting in the loss of all match day revenues and also requiring significant additional expenditure on health and safety compliance.

The club agreed significant salary deferrals and deductions with both its players and staff. It also utilised the government job retention scheme to subsidise wage costs and minimise redundancies, as well as deferring some taxes in line with business support measures available at the time. In addition to this the club's investors injected further equity during the course of the financial year and our loyal supporters donated back a similar sum by forgoing refunds on season tickets. The club also benefited from EFL support loan financing after the reporting date.

The directors have produced detailed financial forecasts to the end of the 2021/22 season, which assume that the stadium will be available to full capacity from the start of the new season. In the event that this isn't the case, or there are any other unforeseen cash shortfalls, the investors have committed to making sufficient funding available for the club to continue to meet its liabilities as they fall due for the forecast period. As such, the directors have concluded that it is appropriate to adopt the going concern basis in preparing these financial statements

The financial statements do not include any adjustments that would result if the company is unable to continue as a going concern.

Reporting period

The company changed its reporting date in the period from 31 May to 30 June to align with the wider football industry in terms of league funding and sponsorship deals. Consequently, the current period financial statements cover the 13 month period ending 30 June 2020 as compared to the comparative period for the year ending 31 May 2019. The comparative amounts presented in the financial statements, including the related notes, are therefore not entirely comparable.

1 **Accounting policies (Continued)**

Turnover
Turnover includes all revenue from football and related commercial activities exclusive of VAT.

Gate receipts and other match day revenues are recognised as the games are played.

Revenue from season ticket sales is credited to income over the period to which it relates.

Sponsorship, advertising and other similar commercial income is recognised over the duration of the contracts to which it relates.

Player trading income
Player trading income is recognised on completion of contracts. Contingent trading income is recognised when the contractual milestones are achieved. The profit arising on player trading activity, being transfer income less associated fees paid and football league levies, is reported separately in the statement of comprehensive income after gross profit.

Other operating income
Donations are recognised upon receipt.

Government grants are recognised as income when the associated performance conditions are met.

Intangible assets - player registrations
When acquired, the costs of obtaining players' registrations are capitalised and amortised evenly over the period of the associated player's contract. The amortisation period therefore varies by player depending on their contract. Provision is made where, in the opinion of directors, an impairment of the carrying value of the players' registrations has occurred. Potential future registration fees, contingent on certain conditions agreed in the registration contracts with the selling company, are disclosed as contingent liabilities (see note 14).

Profits or losses on the disposal of these registrations represents the fair value of the consideration receivable, net of any transaction costs, less the unamortised cost of the original registration.

Tangible fixed assets
Tangible fixed assets are initially measured at cost and subsequently measured at cost, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost of assets less their residual values over their useful lives on the following bases:

Plant and machinery	20% straight line
Fixtures, fittings and equipment	20% straight line
Motor vehicles	25% straight line

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

Stocks
Finished goods are valued at the lower of cost and net realisable value.

1 **Accounting policies (Continued)**

Financial instruments
The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' of FRS 102 to all of its financial instruments.

Financial instruments are recognised when the company becomes party to the contractual provisions of the instrument.

Basic financial assets
Trade, group and other debtors (including accrued income) which are receivable within one year and which do not constitute a financing transaction are initially measured at the transaction price and subsequently measured at amortised cost, being the transaction price less any amounts settled and any impairment losses.

Where the arrangement with a debtor constitutes a financing transaction, the debtor is initially measured at the present value of future payments discounted at a market rate of interest for a similar debt instrument and subsequently measured at amortised cost using the effective interest method.

Basic financial liabilities
Trade and other creditors (including accruals) payable within one year that do not constitute a financing transaction are initially measured at the transaction price and subsequently measured at amortised cost, being transaction price less any amounts settled.

Where the arrangement with a creditor constitutes a financing transaction, the creditor is initially measured at the present value of future payments discounted at a market rate of interest for a similar instrument and subsequently measured at amortised cost, being transaction price less any amounts settled and the cumulative amortisation (using the effective interest method) of any difference between the amount at initial recognition and the maturity amount.

Equity instruments
Equity instruments issued by the company are recorded at the fair value of proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

Taxation
Current tax is based on taxable profit for the period. Current tax assets and liabilities are measured using tax rates that have been enacted or substantively enacted by the reporting date.

Deferred tax is calculated at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled based on tax rates that have been enacted or substantively enacted by the reporting date.

Deferred tax liabilities are recognised in respect of all timing differences that exist at the reporting date. Timing differences are differences between taxable profits and total comprehensive income that arise from the inclusion of income and expenses in tax assessments in different periods from their recognition in the financial statements. Deferred tax assets are recognised only to the extent that it is probable that they will be recovered by the reversal of deferred tax liabilities or other future taxable profits.

Current tax assets and current tax liabilities and deferred tax assets and deferred tax liabilities are offset, if and only if, there is a legally enforceable right to set off the amounts and the entity intends either to settle on the net basis or to realise the asset and settle the liability simultaneously.

1 **Accounting policies (Continued)**

Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Retirement benefits

The company operates a defined contribution scheme for the benefit of its employees. Contributions payable are charged to the profit or loss in the period they are payable.

The company contributes to the Football League Limited Pension and Life Assurance Scheme for certain former employees, the assets of which are held separately from those of the company in independently administered funds. The company is not able to identify its share of the assets and liabilities of the scheme but makes provision for the expected future cost of funding its obligations to fund benefits accrued at the reporting date, as advised by the Trustees (see note 12).

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the statement of financial position as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

Research and development expenditure

Research and development expenditure is written off against profits in the period in which it is incurred.

2 ***Turnover and other revenue***

An analysis of the company's turnover is as follows:

	2020	2019
	£	£
Turnover analysed by class of business		
Matchday and league distribution	11,620,801	5,143,441
Commercial	1,652,666	1,171,463
Retail and catering	1,294,753	1,373,470
	14,568,220	7,688,374

2 Turnover and other revenue (Continued)

	2020	2019
	£	£
Other operating income		
Grants received	463,533	-
Other income	1,101,954	-

During the period, the company received government grants of £463,533 (2019: £nil) under the UK Government Job Retention Scheme.

Included in other income is £1,054,954 (2019: £nil) in respect of an insurance reclaim and management recharge income, and £47,000 (2019: £nil) in respect of a donation.

3 Employees

The average monthly number of persons (including directors) employed by the company during the period was 316 (2019 - 392).

4 Directors' remuneration

	2020	2019
	£	£
Remuneration for qualifying services	311,059	263,992
Company pension contributions to defined contribution schemes	1,425	-
	312,484	263,992

The number of directors for whom retirement benefits are accruing under defined contribution schemes amounted to 1 (2019 - 0).

5 Player trading

The total sums payable in respect of transfer fees, compensation fees, loan fees and subsequent payments that have become due under transfers totalled £1,933,028 (2019: £609,038) at the reporting date and is included in trade creditors.

The total sums receivable in respect of transfer fees, compensation fees, loan fees and subsequent payments that have become due under transfers totalled £4,787,980 (2019: £734,543) at the reporting date and is included in trade debtors.

6 Intangible fixed assets

	Player registrations £
Cost	
At 1 June 2019	1,902,291
Additions	1,994,961
Disposals	(499,491)
At 30 June 2020	3,397,761
Amortisation and impairment	
At 1 June 2019	983,188
Amortisation charged for the period	1,417,941
Disposals	(496,097)
At 30 June 2020	1,905,032
Carrying amount	
At 30 June 2020	1,492,729
At 31 May 2019	919,103

7 Tangible fixed assets

	Land and buildings £	Plant and machinery etc £	Total £
Cost			
At 1 June 2019	28,946	1,109,743	1,138,689
Additions	-	614,902	614,902
Disposals	-	(97,909)	(97,909)
At 30 June 2020	28,946	1,626,736	1,655,682
Depreciation and impairment			
At 1 June 2019	28,946	664,979	693,925
Depreciation charged in the period	-	213,898	213,898
Eliminated in respect of disposals	-	(940)	(940)
At 30 June 2020	28,946	877,937	906,883
Carrying amount			
At 30 June 2020	-	748,799	748,799
At 31 May 2019	-	444,764	444,764

8 Debtors

Amounts falling due within one year:	2020 £	2019 £
Trade debtors	2,521,088	1,615,637
Amounts owed by group undertakings	990,746	248,075
Other debtors	908,827	434,426
	4,420,661	2,298,138

Amounts falling due after more than one year:	2020 £	2019 £
Trade debtors	2,330,000	266,413
Total debtors	6,750,661	2,564,551

9 Creditors: amounts falling due within one year

	2020 £	2019 £
Trade creditors	2,118,721	1,092,844
Taxation and social security	1,149,620	597,757
Other creditors	2,695,397	3,470,988
	5,963,738	5,161,589

During the period, the company received a loan from the English Football League ('EFL') of £584,000 to support the operation of the club during the COVID-19 pandemic. Repayments will be made in 6 equal instalments and will be deducted from future EFL income. At the period end, £97,300 was payable within one year and £486,700 was payable after one year. Amounts are included in other creditors. No interest is charged on this loan.

Included in other creditors is £nil (2019: £200,000) due to directors of the company (see note 15).

10 Creditors: amounts falling due after more than one year

	2020 £	2019 £
Trade creditors	381,045	100,000
Other creditors	983,774	46,981
	1,364,819	146,981

10 Creditors: amounts falling due after more than one year (Continued)

Included in other creditors due after one year is £459,549 (2019: £nil) of deferred salaries under a salary deferral agreement. The amounts become payable on demand if certain events occur before July 2021. As these events are within the company's control, the amount has been included within creditors due after one year. After the reporting date the company secured a further loan from the EFL and as a result the deferred salaries will be paid within one year of the year end.

11 Called up share capital

	2020	2019
	£	£
Ordinary share capital		
Issued and fully paid		
18,145,003 Ordinary shares of £1 each	18,145,003	18,145,003
	18,145,003	18,145,003

12 Retirement benefit schemes

Defined benefit schemes

Luton Town Football Club ('the Club') participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Club is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The last actuarial valuation was carried out at 31 August 2017 where the total deficit on the on-going valuation basis was £30.4 million. The key assumptions used to calculate the deficit at the 31 August 2017 actuarial valuation are:

Valuation	
Discount Rate	Gilt Yield Curve + 2.0% per annum
RPI inflation:	Bank of England Inflation Curve
Pension Increases:	Fixed 3.0% per annum for benefits accrued prior to 6 April 1997, and modelled using the RPI inflation assumption with a cap of 5.0% per annum and a floor of 3.0% per annum for benefits accrued after 6 April 1997
Mortality (pre-retirement):	None
Mortality (post-retirement):	SAPS CMI_2016, 1.5% p.a. long term improvement rate

12 Retirement benefit schemes (Continued)

The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accrual. The Club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme.

During the year, the Club moved its accounting year end from 31 May to 30 June. The results of the 2017 valuation were rolled forward to 30 June 2020 on the same assumptions as detailed above, and the Club's notional share of the deficit was £253,390 (£291,462 as at 31 May 2019).

As at 30 June 2020, the Club was paying total contributions of £3,960 per month (increasing by 5% p.a. on 1 September each year thereafter) and based on the actuarial valuation assumptions detailed above will be sufficient to pay off the deficit by 31 May 2026.

As at 30 June 2020, based on an appropriate discount rate of 0.70% per annum (1.36% per annum as at 31 May 2019), the present value of the Club's outstanding contributions (i.e. their future liability) is £324,287 (£363,761 as at 31 May 2019). This amounts to £49,494 (31 May 2019: £46,949) due within one year and £274,793 (31 May 2019: £316,812) due after more than one year and is included within provisions.

	2020 £	2019 £
Present value of defined benefit obligations	324,287	363,761
Deficit in scheme	324,287	363,761

Movements in the present value of defined benefit obligations	2020 £
Liabilities at 1 June 2019	363,761
Deficit contributions	(39,474)
At 30 June 2020	324,287

The defined benefit obligations arise from plans which are wholly or partly funded.

Income and Expenditure Impact

	2020 £	2019 £
Net interest charge (Unwinding of discount rate)	4,984	2,602
Remeasurement (changes in assumptions)	6,451	287
Remeasurement (changes to contribution schedule)	-	206,230

Assumptions

	2020 £	2019 £
Discount Rate (based on AA Corporate Bond Yields of appropriate currency/duration)	0.70%	1.36%

12 Retirement benefit schemes (Continued)

The funding objective of the Trustees of the Scheme is to have sufficient assets to meet the Technical Provisions of the Scheme. In order to remove the deficit revealed at the previous actuarial valuation (dated 31 August 2017), deficit contributions are payable by all participating clubs. Payments are made in accordance with a pension contribution schedule. As the Scheme is closed to accrual, there are no additional costs associated with the accruing of members' future benefits. In the case of a club being relegated from the Football League and being unable to settle its debt then the remaining clubs may, in exceptional circumstances, have to share the deficit.

Upon the wind-up of the Scheme with a surplus, any surplus will be used to augment benefits. Under the more likely scenario of there being a deficit, this will be split amongst the clubs in line with their contribution schedule. Should an individual club leave the Scheme, they may be required to pay their share of the deficit based on a proxy buyout basis (i.e. valuing the benefits on a basis consistent with buying out the benefits with an insurance company).

13 Operating lease commitments

Lessee
At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2020 £	2019 £
Within one year	179,426	150,128
Between one and five years	531,265	493,746
In over five years	247,500	382,500
	958,191	1,026,374

14 Contingent assets and liabilities

Player registration fees

Excluding items already provided in the Statement of Financial Position, at 30 June 2020 the Company had an estimated liability to pay up to £2,014,245 for additional transfer fees (31 May 2019: £460,000) in respect of players under contract, dependent upon a number of contingent events occurring after the year end, such as players making specific numbers of appearances and gaining international honours.

At 30 June 2020, the Company had expected contingent sums receivable of £2,309,000 in respect of players sold, should certain contingent events occur. The total contingent sum receivable is based on the probable outcome of a range of factors. Due to the uncertainty of receipt of these contingent assets at the comparative reporting date it is was considered not practicable to disclose the amounts likely to be received at this date.

15 Directors' transactions

Description	% Rate	Opening balance £	Amounts advanced £	Amounts repaid £	Closing balance £
Amounts due from directors	-	10,000	-	-	10,000
		10,000	-	-	10,000

Amounts due from directors represents amounts advanced to a director. The balance is unsecured and interest free.

Description	% Rate	Opening balance £	Amounts advanced £	Amounts repaid £	Closing balance £
Amounts due to directors	-	200,000	200,000	(400,000)	-
		200,000	200,000	(400,000)	-

Amounts due to directors represents loan balances from individuals who are directors or quasi directors and are unsecured and are not interest bearing. Such amounts are typically repaid or converted to equity on the parent undertaking within a year of being made.

16 Reserves

Profit and loss reserves

The company received a capital contribution of £650,000 (2019: £1,127,262) being the proceeds of shares issued in the parent entity, 2020 Holdings (England) Limited, passed down to the company.

17 Parent company

The immediate and ultimate parent company is 2020 Holdings (England) Limited, a private company registered in England and Wales. The smallest and largest group in which the company's accounts are consolidated is that of 2020 Holdings (England) Limited, the accounts are available from Kenilworth Stadium, 1 Maple Road, Luton, Bedfordshire, LU4 8AW.